



January 2012

Dear Valued Partners,

The thrust of this year-end review is centered around three questions. These are: to inquire as to what occurred in 2011; to determine what forces, if any, will serve to alter the trends of 2011; and finally, to examine what we think might occur in 2012.

It should be immediately apparent at the outset that 2011 exhibited a continuation of the trend observed during the past several years, which is investment via the mechanism of indexation. If one cites only ETF (Exchange Traded Fund) data in the U.S. alone, then according to the ETF Industry Association, there was over \$1 trillion invested in ETFs in the U.S. at the end of 2011¹. It should be remembered that ETF investing is only a subset of the much larger phenomenon of indexation investing. In any case, in order to begin to place the ETF figure in proper context, let it be observed that the market capitalization of the S&P 500 Index is approximately \$11.75 trillion².

The ETF Industry Association calculates that the notional value of ETF trading is equal to roughly 33% of all U.S. equity trading. It should be noted that this does not include any allowance for the individual stocks that, in aggregate, comprise ETFs. It also takes no account of non-ETF indexation trading which is unquestionably larger than ETF trading. One might also choose, if one desired, a more comprehensive figure to include statistics regarding index-linked structured products and derivatives. In any event, it should be self evident that indexation dominates equity trading and possibly all trading.

If one pauses for a moment of reflection and turns one's attention to all asset classes as opposed to equities, one would notice that the two best performing asset classes of recent times have been long-dated U.S. Treasury Bonds and gold. Although our proper subject is equities, it is interesting to observe that the underlying success scenarios for each of these asset classes are mutually exclusive. Bonds would clearly be the asset of choice in a deflationary state and gold would be the asset of choice in an inflationary state. Although both states cannot occur simultaneously, both investments have been more or less equally successful.

For instance, the Barclays 20+ Year Treasury Bond Index has returned 9.20% annually for the 10 years ending on 12/31/2011. The comparable 10 year rate of return for gold was 18.67% per annum. In the most recent year just ended on 12/31/2011, gold returned 8.93%. However, in 2011 the Market Vectors Gold Miners ETF (GDX) produced a negative 15.93% rate of return. Hence, if an equity investor correctly predicted the rise in the price of gold in 2011 and

¹ <http://www.etf-ia.com/>

² S&P 500 Adjusted Market Cap as of 1/20/2012 was \$11.905M

<http://www.standardandpoors.com/indices/sp-500/en/us/?indexId=spusa-500-usduf--p-us-l-->



expressed that view by purchasing shares in well-capitalized gold firms, that investor would have discovered that the investment result did not reflect the investment reality.

Of course, it could be asserted that this is merely the aberration of a single year. Therefore, let us presume that our imaginary investor had five years ago accurately predicted the subsequent rise in the price of gold. The metal itself in the 5-year period ending on 12/31/2011 produced an annualized rate of return of 19.36%³, or a 142.25% cumulative rate of return. The Market Vectors Gold Miners ETF (GDX) would have produced a 5.84% annualized return or a cumulative return of 32.88%. As a matter of interest, the 5-year annualized return of the iShares 20+ Year Treasury Bond Fund ETF (TLT) over the same period was 11.03%, and the iShares Barclays 7-10 Year Treasury Bond ETF (IEF) produced a 5-year annualized rate of return of 8.97%. One is therefore tempted to ask rhetorically if it would have been plausible to assert that an equity manager could correctly predict a rise in the price of gold from \$600 per ounce to \$1600 per ounce, express that view via the purchase of gold related equities, and over 5 years not only vastly underperform gold, but also underperform the 7-10 year Treasury Index. Clearly, there are other forces at work than the mere fundamental attributes of the companies in question. Let us examine in somewhat more detail one of the more popular ETFs to illustrate the logical consequences of the enormous interest in this type of investing.

One of the more popular ETFs is the SPDR Financial Select Sector Fund (XLF). The SPDR Financial is the second most actively traded ETF after the S&P 500 Index based on share volume. It is the eighth most actively traded ETF based on notional volume. It might surprise readers to learn that its third largest position, comprising 8.31% of its assets, is Berkshire Hathaway (Class B)⁴. The shares underperformed the S&P 500 Index by more than 600 basis points in 2011 on a total return basis.

Berkshire Hathaway owns shares in:

Coca Cola

Conoco Phillips

American Express

IBM

Johnson & Johnson

Kraft

Mastercard

Procter & Gamble

Sanofi Aventis

U.S. Bancorp

Walmart

Wells Fargo

Berkshire Hathaway owns businesses such as:

See's Candies

Burlington Northern Santa Fe Corporation

Lubrizol Corporation

Geico

MidAmerican Energy Company

FlightSafety

NetJets

PacifiCorp

McLane Company

Marmon

Acme Building Brands

Benjamin Moore Paint

This company has written put options on the S&P 500 Index. The character of its investments is not radically different from the S&P 500. Yet, it underperforms the S&P 500 Index.

³ Based on London Gold PM Fixings in USD (<http://www.lbma.org.uk/>)

⁴ As of January 20, 2012



The following table of Price to Book Value Returns illustrates the valuation compression of Berkshire Hathaway over time.

Historical Price-to-Book Value Ratio of Berkshire Hathaway:

2011	1.20x
2010	1.26x
2009	1.17x
2008	1.37x
2007	1.82x
2006	1.57x
2005	1.49x
2004	1.57x
2003	1.67x
2002	1.74x

Source: BRK/A Historical Price to Book Ratio as reported in Bloomberg.

As of the end of 2011, the Price to Book Value ratio of the S&P 500 Index was 3.63x⁵.

The short interest in SPDR Select Financial (XLF) was 178,189,936 shares at the end of 2011⁶. This is the third largest short position of any NYSE issue, and it is equal to approximately 40% of the ETF's shares outstanding. It is not unreasonable to believe that the size of the Berkshire Hathaway position in XLF and the XLF short position have at least some influence upon the share price of Berkshire Hathaway.

Similarly, another position owned by Horizon Kinetics' portfolios is Leucadia National (LUK). Coincidentally, it is also owned by XLF. Leucadia owns Idaho Timber, Conwed Plastics, Keen Energy Services, The Hard Rock Hotel & Casino in Biloxi, Mississippi, two wineries, a 50% interest in a commercial mortgage servicing business jointly owned with Berkshire Hathaway, 18% of Inmet Mining Corporation, 8% of Fortescue Mining, a Fortescue Royalty Note, several real estate assets, a medical products business, and a 28% interest in Jefferies. Recently, Leucadia agreed to acquire a roughly 79% interest in National Beef Packing.

Although Leucadia is a well-diversified company, its shares are clearly correlated with those of Jefferies, as should be obvious to anyone who cares to view the two companies side by side in a chart. Leucadia underperformed the S&P 500 Index by approximately 2300 basis points in 2011. At the moment, it trades at or below book value, although it is more diversified than at any time in its history. Many of its assets are worth more than their carrying value and its management has a 30-year record that is superior even to that of Berkshire Hathaway. The relevant historical price-to-book ratios are displayed below.

⁵ www.iShares.com

⁶ http://online.wsj.com/mdc/public/page/2_3062-nyseshort-highlites.html

Historical Price-to-Book Value Ratio of Leucadia National

2011	0.80x
2010	1.01x
2009	1.30x
2008	1.73x
2007	1.84x
2006	1.53x
2005	1.35x
2004	3.18x
2003	1.46x
2002	1.39x

Source: Bloomberg. On December 31, 2004, Leucadia effected a three-for-two stock split of its common shares in the form of a 50% stock dividend. (Source: Company Reports, 2004 10-K).

The primary reason for the decrease in price of Leucadia is the decline in the share price of its holdings in Jefferies. The primary reason for the decline in the share price of Jefferies was the revelation over the course of the summer of 2011 that about 75% of its shareholders' equity was held in Spanish, Italian, Irish, Portuguese and Greek bonds. The company asserted that these holdings did in fact exist, but were offset by corresponding short positions in these very same bonds, not even in credit default swaps in which there could be counterparty risk. Jefferies is a profitable firm and trades at a P/E of 12x. The Leucadia investment in Jefferies represents 14.4% of Leucadia's shareholders' equity. Thus, Leucadia could even survive a Jefferies bankruptcy if such were to occur, albeit it does not appear very likely.

Such is equity trading in the modern era, in which valuations are accorded to companies based upon industry classifications—even if the company in question, by virtue of its diversification of assets, does not necessarily belong in that industry. Hence, a client or perhaps a potential client of Horizon Kinetics needs to pose the following questions:

Is it better to invest in a company such as Leucadia National, with a 30-year plus record of outstanding achievement, at its lowest valuation in history? Or is it more prudent to establish hedges for inflation and deflation scenarios expressed by substantial investments in gold and Treasury bonds?

Perhaps the question could be phrased alternatively to ask whether or not Leucadia's investments in Inmet Mining, Fortescue Mining, Keen Energy, Idaho Timber, and various parcels of real estate could not function as adequate inflation hedges. Alternatively, would an owner of Leucadia shares feel more comfortable if it made large investments in low coupon, long-term bonds of a nation such as the U.S. that has a one trillion dollars plus deficit per annum and nearly 15 trillion dollars of government debt?

At this juncture, it must be stated that, if the writer of these words were simply the reader, then the reasoning thus far advanced would be very unconvincing indeed. After all, what has been



advanced? The argument, as thus far enunciated, merely states that investors are engaging in various forms of dysfunctional behavior. One example of such is that these investors have tended to simultaneously bid up the prices of deflation beneficiaries such as Treasury Bonds and inflation beneficiaries such as precious metals. Why is this situation extraordinary or even noteworthy? Is this not that which investors always seem to favor? Of what significance is it that it has occurred over the past ten years? Why should it not continue for the next ten years?

It is with these questions that we have now come to the central question of the catalyst for change. It is a catalyst that has already commenced operation upon a modest scale. It is a catalyst that will continue to operate in ever-increasing measure as the months and years progress. It is a catalyst that will operate much to the great chagrin of the many who practice global asset allocation with the tools of indexation.

Indexation, from an investment economics perspective, is perhaps the most profitable investment strategy ever created. It is obviously enormously scalable as evidenced by the trillions of dollars that have been indexed. Moreover, the operational costs are exceedingly low, the management costs are virtually zero since there is no traditional expensive portfolio management staff, and the marketing expenses are entirely discretionary.

It is this economy of scale that now threatens the index business. The barrier to entry for large companies is really quite low. For instance, the iShares MSCI Emerging Markets Index Fund (EEM) was the third largest ETF in the world at the end of 2010 with approximately \$47.5 billion of assets under management. Vanguard simply licensed the same index and created Vanguard MSCI Emerging Markets ETF (VWO), which is identical to EEM except that it has a lower fee. In 2011, Vanguard's VWO raised \$7.86 billion of assets under management and iShares' EEM lost \$6.59 billion of assets under management.

Moreover, Vanguard is continuing the practice of "competition via fee compression" by the creation of large ETFs that are in popular categories such as the Vanguard Dividend Appreciation ETF (VIG). Other such successful Vanguard ETFs are the Vanguard REIT ETF (VNQ), the Vanguard Short Term Bond ETF (BSV), and the Vanguard Total Stock Market ETF (VTI).

Consequently, if Vanguard were to continue its current practices—and there is every reason to believe that this is the case—the profit margins of the existing oligopoly of ETF providers would decline precipitously. The leading indexation companies such as Blackrock are responding to this pressure by petitioning the SEC for permission to create new, different indexes that will presumably be more idiosyncratic and consequently command a higher fee. In any case, there is no possibility of carrying a higher fee if the index providers merely replicate existing liquid indexes and compete with Vanguard on fees.

PIMCO has now entered the ETF business and, in March of 2012, it will launch an ETF version of its PIMCO Total Return Fund, an open-end mutual fund. This will create a tranche of an actively managed ETF in which the parent fund has \$244 billion in assets under management.



It seems no more than reasonable to believe that many customers of the PIMCO Total Return Fund will switch their mutual fund shares to ETF shares. After all, the expenses will be lower and one can transact during the day instead of at the end of the day.

If the Securities and Exchange Commission (“SEC”) grants authority to PIMCO to convert an existing mutual fund to an ETF structure, it is not unlikely that the SEC will grant authority to other large firms such as Fidelity, T. Rowe Price, and Franklin Templeton for the same action. In this case, the ETF movement will no longer be the exclusive preserve of indexation. Undervalued companies that might have minor positions in indices will find a constituency of buyers, unlike the situation at present.

The expansion of the ETF business to include an actively managed element will also change the nature of asset allocation and risk control in many ways. In order to explore this point, let us consider the current circumstance. Let us assume that a hypothetical asset allocator is concerned about the consequences of the European sovereign debt crisis, particularly as it might well impact the soundness of the banking system. Yet at the same time, the allocator wishes to maintain a positive equity allocation upon the premise that a global economic collapse is by no means a certainty. How might such a portfolio be reasonably structured?

In simplistic terms, one might have a long exposure to an index such as the S&P 500 Index and a smaller short exposure to a financial index such as the SPDR Select Financial (XLF). The deficiencies of XLF as an actual hedge or even as a replicator of the financial universe have been discussed in a prior section of this paper. However, quite apart from any deficiencies in the index proper, this approach is not necessarily the most efficient means of extracting positive alpha in a negative environment.

If there were actively managed ETFs devoted to the sectors, an allocator would have much more flexibility. For example, an allocator with a long position in the S&P 500 Index may seek to replace the financial sector exposure of the S&P 500 Index with a superior sector fund that generates alpha, if there were such an ETF. Alternatively, judging by the much more reasonable premise that most active managers underperform the benchmark, one would establish a financial ETF short position of the actively managed variety in dollar neutral fashion to the financial exposure of the S&P 500 Index. In this manner, the allocator in question would have no real “beta” exposure to finance and if the active manager actually underperformed the S&P 500 Index financial sector, the allocator would thereby generate alpha, while simultaneously reducing the volatility of the overall portfolio.

Similarly, why would any allocator accept the price risk of owning the 10-year Treasury that yields 1.86% if he or she believed that the PIMCO Total Return Fund would substantially outperform the 10-year Treasury? Surely, it is the superior strategy from a Sharpe Ratio standpoint to sell short the 10-year Treasury and establish a corresponding long position in the PIMCO Total Return ETF.



Moreover, why would an allocator accept the risk of a short position in natural gas by betting on a corresponding catastrophic surplus of natural gas? One would simply sell short natural gas if one were aware of an equity manager with a natural gas specialization who could outperform natural gas as a benchmark. The logical move in this circumstance would be to establish a long position with the equity manager to hedge the risk of being short natural gas. Conversely, if one believed that the natural gas specialists were so untalented as to never be able to outperform that natural gas index, they would be long natural gas and short the ETF of the natural gas specialist.

In summary, the changes to indexation and the ETF business that are in prospect of occurring during the next several months will change the nature of asset allocation as it has been practiced for the past four or five years. Once there exist a sufficient number of actively-managed specialized ETFs, true bona fide market neutral investing becomes possible for the first time in investment history. The possibilities are binary. One either believes that a fund such as the PIMCO Total Return Fund will outperform an instrument such as the 10-year U.S. Treasury, or one believes the reverse proposition. In either case, the investor will be long one instrument and short the other. As a result, in some manner, the actively managed portfolio will become the centerpiece of asset allocation practice and risk control. More importantly, the idiosyncratic investments preferred by active managers will be the mechanisms that generate portfolio alpha either because the specialist managers have talent or entirely lack talent. Hence, the relentless focus upon a narrow range of liquid investments with ever greater correlations with each other will end. Investors who ignore these seminal events, as such events have been thus far ignored by the media, do so to their great peril.

Murray Stahl

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